BACKUP

Backup slides for the questions

Not part of the 10-minute talk – click a section to jump there

A **Ratios, workbook and what-if**
Formulas · what-if logic · provisions · sensitivities · long list · workbook
MOST ASKED Slides 14–21 ▸

B **Business model and environment**
DESTEP · Porter's five forces · VRIO and SWOT
Slides 22–24 ▸

C **Accounting analysis**
Red flags · room for judgement · adjustments · reliability of ratios
Slides 25–28 ▸

D **Financial analysis**
Growth and costs · DuPont · liquidity and benchmark · cash flow
Slides 29–32 ▸

E **Recommendation, scenarios and risks**
Why 3.9 % is a trigger · scenarios · risks and drop trigger
Slides 33–35 ▸

F **Likely questions and answers**
Eleven short answers for the Q&A
Slides 36–38 ▸

HOW TO USE

Each backup slide answers one likely question in depth.

Every slide links back here with ◂ **INDEX**.

All figures come from the report and the Excel workbook.

References: slide 39 ▸

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Ratios I: returns are low because the margin is low

Profitability and returns – formula, Liebherr and Caterpillar, 2025

GROUP	RATIO	FORMULA	LIEBHERR	CATERPILLAR
PROFITABILITY	Operating margin	EBIT / revenue	2.8 %	17.2 %
	Pre-tax margin	Profit before tax / revenue	3.0 %	17.9 %
	Net profit margin	Profit after tax / revenue	1.8 %	13.8 %
	EBITDA margin	EBITDA / revenue	6.8 %	19.8 %
RETURNS	ROA	EBIT / average total assets	2.4 %	11.9 %
	ROCE	EBIT / (avg. equity + avg. non-current debt)	3.5 %	20.2 %
	ROE	Profit after tax / average equity	3.0 %	38.1 %*
	Pre-tax ROE	Profit before tax / average equity	4.8 %	49.4 %

* Not comparable – treasury shares reduce Caterpillar's equity. ROA is measured on EBIT, because Liebherr's interest expense is not disclosed.

DUPONT

ROE = net margin × asset turnover × leverage

leverage = average total assets / average equity

	MARGIN	TURNOVER	LEVERAGE	ROE
2025	1.84 %	× 0.85	× 1.89	3.0 %
pre-tax	2.96 %	× 0.85	× 1.89	4.8 %
2023 pre-tax	4.76 %	× 0.88	× 1.81	7.6 %

Leverage works on ROE, **not on the EBIT margin** – EBIT is measured before interest.

Source: Excel workbook, sheets D3 (blocks C and D) and D4; Report §5.3, Table J14. 2025; Caterpillar on the FIFO basis

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Ratios II: strong liquidity, slow capital

Asset utilisation, working capital, liquidity and solvency – 2025

GROUP	RATIO	FORMULA	LIEBHERR	CATERPILLAR
ASSET UTILISATION	**Asset turnover**	Revenue / average total assets	**0.85**	**0.69**
	Fixed asset turnover	Revenue / average PP&E	**3.49**	**4.74**
WORKING CAPITAL	**Days inventory outstanding**	Avg. inventories / revenue × 365	**157.5**	**116.5**
	Days sales outstanding	Avg. receivables / revenue × 365	**73.8**	**54.5**
	Days payables outstanding	Avg. payables / revenue × 365	**28.6**	**44.9**
	Cash conversion cycle	DIO + DSO - DPO	**202.7**	**126.1**
LIQUIDITY	**Current ratio**	Current assets / current liabilities	**2.31**	**1.55**
	Quick ratio	(Current assets - inventories) / current liab.	**1.16**	**0.94**
	Cash cover	Cash + current fin. assets / current debt	**2.6×**	**–**
SOLVENCY	**Equity ratio**	Equity / total assets	**53.5 %**	**24.9 %**
	Debt / equity	Debt incl. pensions / equity	**0.40**	**1.84**
	Debt / capital	Bank + lease liab. / (those + equity)	**23.7 %**	**64.8 %**
	Debt / EBITDA	Bank + lease liabilities / EBITDA	**2.90**	**3.52**

READ WITH CARE

Days on a revenue basis: Liebherr reports no cost of sales. On its own cost basis DIO would be 299 days – not comparable.

Two debt measures: “debt” includes pensions (€3,714 m); bank and lease liabilities (€2,898 m) match the Damodaran benchmark.

Interest cover: not computable – no interest expense disclosed. Indicator: operating profit / interest paid 3.90.

Source: Excel workbook, sheets D3 (blocks D, E, G, H) and D7; Report Tables J5 and J14. 2025; days on average balances; Caterpillar on the FIFO basis

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What-if I: direction matters more than the formula

Balance sheet and liquidity – what happens to the ratios

Suppliers paid in cash	Current ratio ▲ Cash ▼	Both sides fall by the same amount, so a ratio above 1 rises: €500 m paid → 2.31 to 2.44 (illustration).
Inventory write-down	EBIT ▼ Current ratio ▼ DIO ▼	The days **look** better while the position is weaker – the allowance is not disclosed.
New bank debt for capex	Equity ratio ▼ Debt/EBITDA ▲ Leverage ▲	EBIT margin unchanged; net margin falls through interest. ROE rises only if the return beats the interest rate.
Cash conversion cycle −10 days	Cash ▲ Margin –	Releases about €405 m once (€40.5 m revenue a day) – not a recurring improvement.
Receivables collected faster	DSO ▼ OCF ▲ Current ratio –	Cash replaces receivables inside current assets, so liquidity ratios barely move.

INVESTOR LENS **A better ratio is not always a better company**

Source: Report §5.4–5.5; Excel workbook, sheets D3 and D7. Directions are logical consequences; the €500 m case is an illustration on 2025 balances

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What-if II: accounting choices move profit, not cash

Effect of an accounting choice on EBIT, equity and cash

CHANGE	EBIT	EQUITY	CASH / OCF	LIEBHERR EXAMPLE
Provision addition	▼	▼	–	Expense now – the obligation is estimated
Provision usage (utilisation)	–	–	▼	Obligation settled – no profit effect
Provision reversal (release)	▲	▲	–	Estimate no longer needed – profit without cash
Slower depreciation (longer life)	▲	▲	–	Liebherr 5.5 % vs. Caterpillar 6.6 % of cost
More own work capitalised	▲ now	▲	–	€317 m = 77 % of 2025 EBIT; returns as depreciation
LIFO → FIFO, rising prices (CAT)	▲	▲	–	+$441 m EBIT, +$4,305 m equity before tax

INVESTOR LENS **Operating cash flow is the check on the accruals – only 28.4 % of EBITDA in 2022–2025**

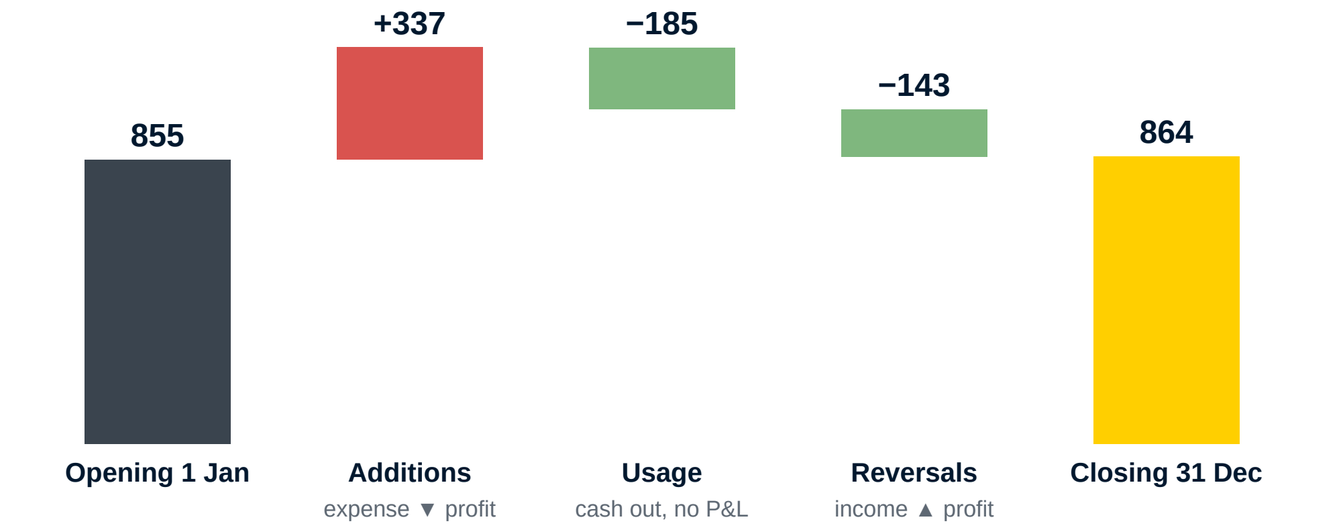
Source: Report §4.2–4.4 and §6.2; Excel workbook, sheets A2 (note 10), C1, C2 and D9

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Provisions: reversals rose – but so did additions

Movement of provisions 2025 (IAS 37), € m – of which warranty 530

Roll-forward 2025, all provisions



Net charge = additions − reversals	2022	2023	2024	2025
	193	338	195	194

How to read it

- **IAS 37:** present obligation from a past event, probable outflow, reliable estimate
- **Usage ≠ reversal:** only additions and reversals touch profit
- **Hidden reserve test:** a release to support profit would show as a *falling* net charge – 195 → 194, so not visible
- **Flag kept:** other provisions built up by €146 m in 2023 are being released (€63 m in 2025); the notes cannot show why

Source: Excel workbook, sheets A2 (note 10, rows 68–80), C2 and D11 (block B); Report §4.2 and §4.4, Table H1 test 1. € m

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Sensitivity: every measured effect lowers the margin

Liebherr operating margin 2025 – illustrations on published figures, not booked adjustments

STEP	CALCULATION, € M	EBIT	MARGIN
As reported	–	413	2.80 %
Net provision charge at the 2022–2024 average	413 - (1.76 % - 1.31 %) × 14,772	347	2.35 %
… without the high charge of 2023	413 - (1.43 % - 1.31 %) × 14,772	395	2.68 %
Caterpillar's depreciation rate (6.6 % instead of 5.5 % of cost)	413 - 105	308	2.08 %
Both effects together	413 - 66 - 105	242	1.64 %

2.80 − 0.44 − 0.71 = 1.64 %

Sheet D9 also shows a **gross-reversal** view (2.5 % at average reversals, 1.8 % without any reversal). The report uses the **net charge** (D11), because additions rose together with the reversals. Own work capitalised (€317 m) cannot be measured.

Source: Excel workbook, sheets D9 (blocks A and B) and D11 (block B); Report §6.1, Tables H3 and J13

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From 30 treatments to 22 findings

How the long list became the short list – four steps

STEP 1 · TABLE G2

Long list

30

accounting treatments with room for choice

▶

STEP 2 · TABLE G1

Key treatments

9

key account × high or medium-to-high flexibility

▶

STEP 3 · TABLE H1

Red-flag screen

9

8 tests + 1 consistency check → 4 flags · 3 clean · 2 not testable

▶

STEP 4 · TABLE H2

Short list

22

findings → 7 not adjustable · 5 reversed · 10 not reversible

The nine key treatments

Inventory cost and write-down · own work capitalised · impairment · expected credit losses · three provision categories · deferred taxes. Revenue timing and the by-nature format are added – they affect every ratio.

Left out – and why

Borrowing costs, lessee accounting and currency translation: the standard prescribes the mechanics. Development costs: never capitalised, kept only for the comparison. The two “9”s are different counts.

Source: Report §4.2–4.4, Tables G1, G2, H1 and H2

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Workbook: every number traces back to the report

From the published statements to the ratios – and how we know it adds up

A1–A4

Published statements

typed exactly as printed

B1–B3

Recast by nature

formulas only · 21 mapping decisions

C1–C2

Adjustments

LIFO → FIFO · goodwill 2022 · note data

D1–D11

Analysis

ratios · DuPont · sensitivities · benchmark

E1–E2

Judgements and checks

44 judgements · every subtotal reconciled

Key mapping decisions

- Change in inventories and own work capitalised mapped into the cost of materials
- Caterpillar's finance receivables taken out of trade receivables
- Liebherr's trade payables taken from note 7
- Caterpillar's operating costs kept as one line – no materials or personnel split published
- Liebherr in €, Caterpillar in $ – never added or divided across companies

CHECKS · SHEET E2

0

open differences

Every recast subtotal is a live formula against the published figure. Three deliberate differences are labelled: Caterpillar goodwill 2022, equity in affiliates after tax, and the depreciation difference (judgement 12).

Source: Excel workbook, sheets Method, B1–B3, C1, E1 and E2; Report §4.5 and Appendix K

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Environment: a modest recovery, but costs rise first

DESTEP scan

Economic

European construction equipment market +4.6 % in 2025, +2 to 2.5 % expected for 2026 – while Liebherr's construction and mining revenue fell 5.5 %.

Political

US tariffs cut Liebherr's North American crane revenue in 2025. Caterpillar expected a tariff impact of $2,600 m in 2026.

Social

Construction had 792 fatal accidents at work in the EU in 2023, 24.0 % of the total. Safety becomes a purchase criterion.

Technological

Autonomous and electrified machines. EU Regulation 2023/1230 covers autonomous functions from 20 January 2027.

Ecological

EU emission limits for non-road machinery and the target of at least 55 % net emission cuts by 2030 make low-emission machines a purchase criterion.

Demographic

Shortages of skilled workers and machine operators push costs up. Personnel expenses reached 28.6 % of revenue in 2025.

Source: Report §3.1.1; CECE (2026), Eurostat (2025), European Union (2023), European Commission (n.d.-a, n.d.-b), Liebherr-International AG (2026), Caterpillar Inc. (2026)

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Competitive forces squeeze the margin

Porter's five forces

New entrants	Moderate, rising	Chinese producers enter with cheaper, simplified machines. Mobile and crawler crane revenue fell 6.8 % in 2025.
Supplier power	Moderate, rising	Cost of materials is 52.7 % of revenue. Electrification shifts power to battery and electronics suppliers.
Buyer power	High, stable	Receivables rose 9.1 % against revenue growth of 1.0 % in 2025. About half of fleet owners may reconsider their brands by 2028.
Substitutes	Low to moderate, rising	Renting and automation change how much equipment is needed. The rental fleet took €305 m, 28.8 % of 2025 investment.
Rivalry	High, rising	The fixed cost of staying in the market rises. The operating margin fell from 4.6 % in 2024 to 2.8 % in 2025.

INVESTOR LENS **Limited industry profit potential – consistent with the fall to 2.8 %**

Source: Report §3.1.2, Table 1; ratings are the judgement of the report

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Hard-to-copy resources – locked in the asset base

VRIO and SWOT

VRIO: what is hard to copy

- **Sustained advantage:** in-house key technologies (40+ production sites in 16 countries), application engineering (R&D €708 m, 4.8 % of revenue), family ownership with permanent capital (equity ratio 53.5 %)
- **Parity only:** wholly-owned sales and service network, decentralised divisional structure
- **Temporary to sustained:** internal capital market

Strengths

Vertical integration · equity ratio 53.5 % · 13 segments

Weaknesses

Margin 2.8 % vs. 17.2 % at Caterpillar · operating cash flow €1,171 m → €530 m · no segment disclosure

Opportunities

Low-emission and automated machines · European market +4.6 % in 2025

Threats

Low-price competitors from China · US tariffs · transition costs for new drives and autonomy

Source: Report §3.2 and §3.4, Tables E1 and D1

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Red-flag screen: reasons to ask, not proof

Nine tests over four years

Four red flags

- **Provision reversals:** €143 m in 2025, 34.6 % of the operating result if credited within it
- **Receivables vs. revenue:** receivables +9.1 % against revenue +1.0 % in 2025
- **Profit vs. tax:** effective tax rate 99.2 %, 45.1 %, 58.2 % and 37.8 % (2022–2025), no reconciliation
- **Impairment:** €55 m in 2023, six times the level of the other years

Clean or not testable

- **Clean:** no off-balance-sheet arrangements disclosed · same auditor (Ernst & Young), no qualified opinion · no change of policy or estimate
- **Not testable:** related party transactions (no note in four years) · large year-end adjustments (no interim figures)

4
flags raised

3
clean

2
not testable

Source: Report §4.4, Table H1; financial statements 2022–2025

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Where management has room for judgement

Rated by the judgement the standard allows and the materiality of the amount

Highest flexibility

- Inventories: €6,341 m, 36.3 % of total assets, allowance not disclosed
- Provisions: €864 m, of which €530 m warranty
- Impairment test
- Deferred tax assets: €285 m

Also material

- Own work capitalised: €317 m, 77 % of the operating result
- PP&E: €4,304 m, machinery written off over 5 to 21 years
- Revenue timing: advance payments €896 m, contract liabilities €289 m

Lowest flexibility

- Borrowing costs
- Lessee accounting
- Translation of foreign currency
- The standard prescribes the mechanics – little choice for management

Source: Report §4.2–4.3, Table G2 (30 treatments, nine of them key)

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22 findings: what we could adjust and what we could not

Short list of the accounting analysis

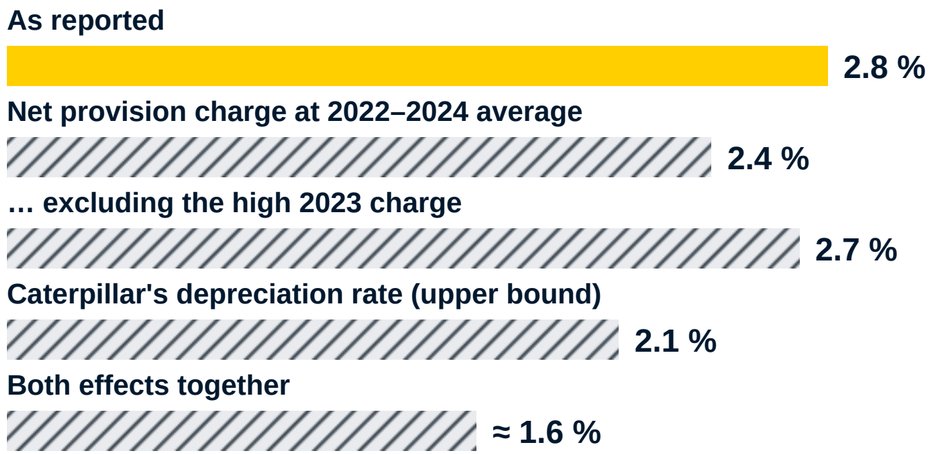
7 **not adjustable**
Red flags and disclosure gaps, e.g. provision reversals of €143 m, missing related party note

5 **reversed in the workbook**
e.g. Caterpillar LIFO → FIFO: equity +$4,305 m, operating profit +$441 m; goodwill impairment 2022

10 **not reversible**
Disclosure too thin, e.g. undefined normal capacity, own work capitalised €317 m

ILLUSTRATIVE SENSITIVITY · NOT BOOKED

Liebherr operating margin 2025



The quantified effects point to a weaker result – the weakness is, if anything, understated.

Source: Report chapter 4, Tables H2, H3 and J13; Excel workbook, sheets C1, D9 and D11

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How far the key ratios can be trusted

After the accounting analysis the ratios fall into three groups

Reliable

- Operating margin trend
- Inventory and payable days – capital tied up, not asset quality
- Current ratio 2.31, quick ratio 1.16
- OCF / EBITDA 53.0 % and free cash flow −€176 m

Usable with bias

- Margin level 2.8 % – scenarios 1.6 % to 2.8 %
- Days sales outstanding 73.8
- Equity ratio 53.5 % (50.4 % at Caterpillar's depreciation rate)
- Fixed asset turnover 3.49

Not usable

- Net margin 1.8 % and return on equity 3.0 % – tax rate 37.8 % to 99.2 %
- Interest cover – not computable, indicator only
- Comparisons with Caterpillar built on equity

Source: Report §6.3, Table J13; 2025 figures; Excel workbook, sheets D3 and D9

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Growth and cost structure 2022–2025

Operating margin per year, with revenue and operating profit

2022	2023	2024	2025
3.6 %	**4.4 %**	**4.6 %**	**2.8 %**
Revenue €12,589 m	Revenue €14,042 m	Revenue €14,622 m	Revenue €14,772 m
Operating profit €454 m	Operating profit €619 m	Operating profit €674 m	Operating profit €413 m

Where growth stalled

- Revenue growth 11.5 % (2023) → 4.1 % (2024) → 1.0 % (2025)
- Construction and mining −5.5 % to €9,345 m
- Other segments +14.7 % to €5,427 m, components +35.5 %

Where the margin went

- Personnel expense +5.3 % to €4,226 m vs. revenue +1.0 %
- Personnel share of revenue 26.4 % (2023) → 28.6 % (2025)
- Other operating items cost another 1.25 pp
- Each margin point = €148 m operating profit

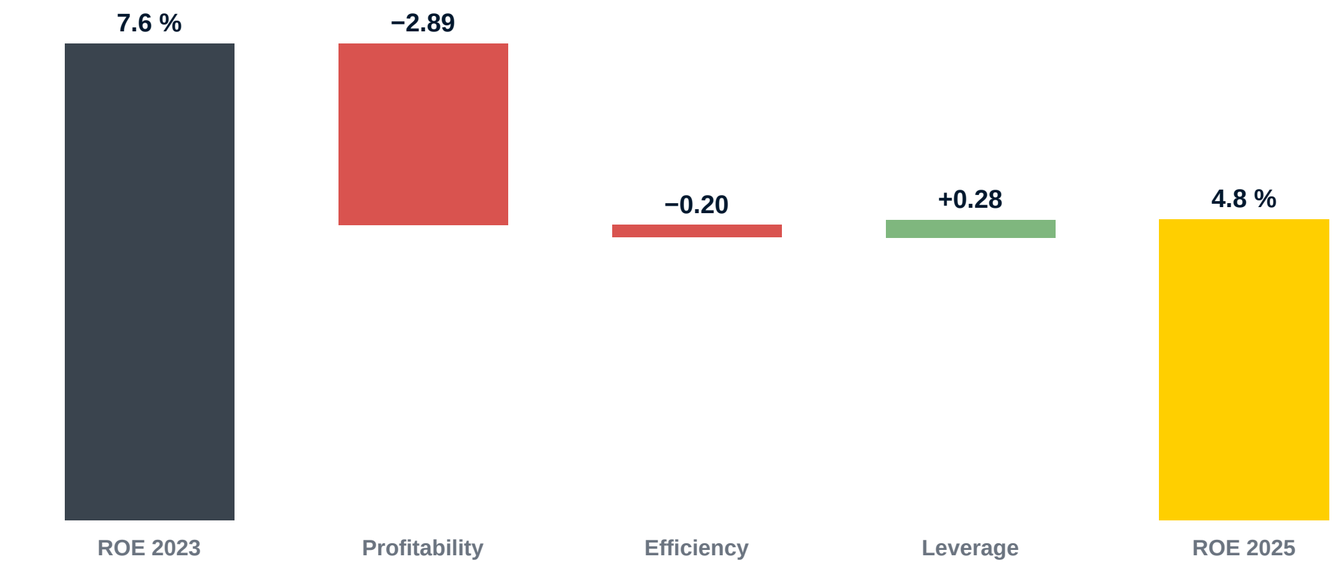
Source: Report §5.2; Excel workbook, sheets D1 and D6

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DuPont: the margin, not leverage, drives returns down

Pre-tax return on equity 2023 → 2025

Contributions to the change in pre-tax ROE, percentage points



pre-tax return on equity · contributions in pp

What it means

- **Profitability −2.89 pp:** lower pre-tax margin
- **Efficiency −0.20 pp:** slightly lower asset turnover
- **Leverage +0.28 pp:** more debt even helped a little
- After tax, ROE was 3.0 % vs. 16.4 % in the US industry – but the tax charge is volatile, so the trend is read before tax

Source: Report §5.3, Figure 2a, Table J4; Excel workbook, sheets D4 and D6 (logarithmic split)

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Strong solvency, far weaker returns

Liquidity, solvency and benchmark 2025

Balance sheet strength

- Equity ratio 53.5 %; bank and lease liabilities 23.7 % of capital (industry 39.3 %)
- Cash and current financial assets €3,147 m cover current debt of €1,215 m 2.6×
- Current ratio 2.31 vs. 1.55 at Caterpillar
- Net financial position €523 m (2022) → net debt €85 m (2023) → €249 m (2025)
- Debt / EBITDA 2.14 → 2.90; operating profit / interest paid (indicator) 11.07 (2022) → 3.90 (2025)

2025	LIEBHERR	US INDUSTRY	CATERPILLAR
Operating margin	**2.8 %**	15.9 %	17.2 %
EBITDA margin	**6.8 %**	19.6 %	19.8 %
Return on equity	**3.0 %**	16.4 %	38.1 %*
Inventories, % of revenue	**42.9 %**	16.6 %	33.2 %
Debt / EBITDA	**2.90**	2.30	3.52

* Not comparable – Caterpillar's equity is reduced by treasury shares. Caterpillar on the FIFO basis.

Source: Report §5.1 and §5.5, Table J14; Damodaran (2026b, 2026c, 2026d, 2026e), US machinery industry, January 2026; Excel workbook, sheets D3, D7 and D10

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Liebherr invests ahead of its cash

Cash flow and capital allocation

190.2 %
Capex in % of operating cash flow, 2022–2025

–€1,151 m
Free cash flow in total, 2022–2025

28.4 %
of EBITDA became operating cash flow, 2022–2025 (53.0 % in 2025)

€530 m
Operating cash flow 2025, down from €1,171 m (2024)

Capex above operating cash flow

- Capex and R&D 9.6 % of revenue vs. 7.4 % at Caterpillar – at a margin of 2.8 % vs. 17.2 %
- Shortfall after distributions €388 m (2023–2025)
- Bank and lease liabilities +€562 m (2022–2025)

Caterpillar returns cash

- Free cash flow $7,453 m in 2025, 11.0 % of revenue
- 73.1 % of operating cash flow returned to shareholders (2022–2025)
- Liebherr distributed €56 m in 2025 – little current income for an investor

Source: Report §5.6, Figure 4; Excel workbook, sheets D5, D7 and D10

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Why 3.9 % is only a trigger, not a target

Condition 1 of the reassessment

3.9 %
Average operating margin 2022–2025 (3.86 %)

+€157 m
Operating profit at 2025 revenue (€14,772 m)

3.5 %
ROCE before tax 2025 vs. 7.70 % after-tax benchmark

6–8 %
Operating margin needed to earn the benchmark

What the trigger means

- A return to 3.9 % is the first realistic sign of recovery – Liebherr has earned it on average
- It is a test, not a target return
- Each margin point is worth €148 m

Why it is not enough

- Even in 2024, at a 4.6 % margin, ROCE was only 5.9 % before tax – below the 7.70 % benchmark
- The benchmark is the US machinery industry, not Liebherr's own cost of capital
- A margin recovery alone does not prove an adequate return

Source: Report §5.3 and §5.7, chapter 8; Excel workbook, sheets D3 and D10; Damodaran (2026a)

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What the scenarios are worth

Operating profit at 2025 revenue (€14,772 m) – illustrations, not forecasts

Margin scenarios

2025 actual · 2.80 % margin



€413 m

Four-year average · 3.86 % margin



€570 m **+€157 m**

Best year 2024 · 4.61 % margin



€681 m **+€268 m**

US industry average · 15.86 % margin

€2,343 m **+€1,930 m**

The industry figure shows the size of the gap and is not a target.

Cash scenarios (2025)

- Free cash flow −€176 m: the net financial position of €249 m covers it 1.4 years
- After distributions (−€232 m): 1.1 years
- Capex at the level of depreciation (€587 m): +€119 m, free cash flow still −€57 m
- Cash conversion cycle 10 days shorter: €405 m released once

Source: Report Table J15; Excel workbook, sheet D10. Margins Liebherr has earned or the industry average – nothing is assumed

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Risks, limits and when to drop the case

What could still go wrong – and the alternative for a cautious investor

Demand

Construction and mining revenue −5.5 % in 2025; no significant upswing expected before 2027

Costs

US tariffs and the cost of autonomous and electrified machines press on the margin

Information

The largest cost increase of 2025 cannot be explained from the summary statements

Valuation

Not assessed in the report – price and contract rights decide the case

Alternative for a risk-averse investor

Equity is unsuitable: low payout, shares not traded. A loan may fit better, as equity of 53.5 % limits the default risk – but pricing, maturity, collateral and covenants are not disclosed.

Drop trigger

If the margin stays near 2.8 % in 2026 **and** the net financial position turns negative, the investor should drop the case rather than wait for 2027. A recovery should not rest on large provision releases.

Source: Report §5.5, §5.7, §6.1 and chapter 8

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Why not invest now?

Likely questions (1/2)

Q Why not invest now?

Neither financial condition was met in 2025: the margin of 2.8 % is below its four-year average of 3.9 %, and free cash flow was −€176 m. The answer is **not yet**, rather than no.

Q Why is 3.9 % the first test?

It is the average Liebherr earned from 2022 to 2025 – a realistic first sign of recovery. At 2025 revenue it adds €157 m of operating profit. A trigger, not a target return.

Q Is the LIFO to FIFO adjustment fair?

IAS 2 does not permit LIFO, so FIFO puts both groups on one basis. Caterpillar's LIFO reserve of $4,305 m lifts its margin only from 16.50 % to 17.15 % – the gap stays large.

Source: Report chapters 4 to 8; Excel workbook, sheets C1, D3 and D10

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What the balance sheet cannot fix

Likely questions (2/2)

Q What do the red flags mean?

They are reasons to ask, not proof of manipulation. Four flags are raised, three tests are clean and two cannot be run on the published statements – that is why information rights come first.

Q Why is ROCE so low?

ROCE is 3.5 % before tax against a 7.70 % after-tax benchmark: the margin is only 2.8 %, and inventories of 42.9 % of revenue and a cash cycle 77 days longer than Caterpillar's tie up capital.

Q Why is a strong balance sheet not a return?

An equity ratio of 53.5 % and a net financial position of €249 m limit the risk, but do not earn the cost of capital. They would cover a shortfall like 2025 (−€232 m) for about 1.1 years.

Source: Report chapters 4 to 8; Excel workbook, sheets C1, D3 and D10

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Questions on method

Likely questions (3/3)

Q Why pre-tax ROE?	The effective tax rate was 99.2 %, 45.1 %, 58.2 % and 37.8 % (2022–2025), with no tax reconciliation published – the after-tax trend says little.
Q Why Caterpillar as the peer?	The world's leading maker of construction and mining equipment – the core market of Liebherr's largest sector (63.3 % of revenue). We compare ratios only, never € and $ figures.
Q Why a US industry benchmark?	Damodaran publishes consistent data for 105 listed machinery companies. It is a reference level, not Liebherr's own cost of capital.
Q R&D expensed, yet €317 m capitalised?	Own work capitalised is self-built assets and rental machines (IAS 16), not development costs (IAS 38), which are never capitalised.
Q Why days on a revenue basis?	Liebherr reports no cost of sales, so DIO and DPO use revenue for both groups – comparable, but not the textbook formula.

Source: Report §4.2, §5.3, §5.7 and §6.3; Excel workbook, sheets C2 and D3; Caterpillar Inc. (2026)

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References

Sources cited in the presentation, including the backup slides (APA 7th edition)

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